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Case Number: 25STCV19923 Hearing Date: July 9, 2026 Dept: 834

Superior Court of California

County of Los Angeles

Department 834

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RAHIM INVESTMENTS, LLC,

Plaintiff(s),

vs.

ORO

EXTRACTION AND DISTRO SERVICES, L.L.C., et al.,

Defendant(s).

Case No.:

25STCV19923

Hearing Date:

July 9, 2026

[TENTATIVE]

ORDER RE: APPLICATIONS FOR WRIT OF ATTACHMENT

Plaintiff Rahim Investments, LLC

(“Plaintiff”) seeks writs of attachment against defendants Oro Extraction and Distro Services, L.L.C. (“Oro”), Distillation Ventures, LLC (“Distillation”) and Michael A. Hermosillo (“Hermosillo”) (collectively, “Defendants”).

The applications are granted.

I.

Background

1. Factual Background

On or about February 10, 2022, Plaintiff loaned Defendants \$500,000 (“Loan”) as evidenced by a promissory note (“Note”) dated the same. (Rahim Decl., ¶¶ 2-3, Ex. 1; Hermosillo Decl., ¶ 3) Plaintiff extended the Loan to provide “initial working capital needs” for the entity Defendants. (Rahim Decl., ¶ 3, Ex. 1) Plaintiff delivered the Loan funds to Defendants by cashier’s check to Distillation. (Rahim Decl., ¶ 4, Ex. 2.)

Hermosillo is the managing member of both Oro and Distillation. (Hermosillo Decl., ¶ 2.)

Plaintiff contends Defendants have not made any required payments under the Loan and Note, including the annual payments due February 28 of 2023, 2024, and 2025. (Rahim Decl., ¶ 5.) Defendants contend they made one \$2,500 payment toward the Loan balance in October 2023, but agree they have not paid any annual true-up payments. (Hermosillo Decl., ¶¶ 4-5, Ex. 2.)

As a result, Plaintiff demanded late charges and opted to accelerate the loan. (Hermosillo Decl., ¶¶ 6-8.)

2. Procedural History

On July 8, 2025, Plaintiff filed this action against Defendants. Proofs of service filed August 8 and 27, 2025 show Plaintiff served the summons and complaint on Defendants by personal service, Oro on August 5, 2025, Distillation on August 13, 2025, and Hermosillo on August 18, 2025. On November 3, 2025, Defendants filed their answer.

On May 19, 2026, Plaintiff filed two of the instant applications for writs of attachment, one against Distillation and one against Hermosillo. On May 20, 2026, Plaintiff filed the third instant application for a writ of attachment against Oro. On June 25, 2026, Defendants filed their opposition. On July 6, 2026, Plaintiff filed its reply.

II.

Applicable Law

“Upon the filing of the complaint or at any time thereafter, the plaintiff may apply pursuant to this article for a right to attach order and a writ of attachment by filing an application for the order and writ with the court in which the action is brought.” (CCP § 484.010.)

The application shall be executed under oath and must include: (1) a statement showing that the attachment is sought to secure the recovery on a claim upon which an attachment may be issued; (2) a statement of the amount to be secured by the attachment; (3) a statement that the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based; (4) a statement that the applicant has no information or belief that the claim is discharged or that the prosecution of the action is stayed in a proceeding under the Bankruptcy Act (11 U.S.C. section 101 et seq.); and (5) a description of the property to be attached under the writ of attachment and a statement that the plaintiff is informed and believes that such property is subject to attachment. (CCP § 484.020.)

The application for a writ of attachment must be supported “by an affidavit showing that the plaintiff on the facts presented would be entitled to a judgment on the claim upon which the attachment is based.” (CCP § 484.030.)

The court shall consider the showing made by the parties, as well as the pleadings and other papers in the record. (CCP § 484.090(a), (d).) The Court shall issue a right to attach order if it finds all of the following:

“(1) The claim upon which the attachment is based is one upon which an attachment may be issued.

(2) The plaintiff has established the probable validity of the claim upon which the attachment is based.

(3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.

(4) The amount to be secured by the attachment is greater than zero.”

(CCP § 484.090(a)(1-4).)

At the times prescribed by CCP section 1005, subdivision (b), the defendant must be served with a copy of the summons and complaint, notice of application and hearing, and a copy of the application and supporting affidavits. (CCP § 484.040.)

“The Attachment Law statutes are subject to strict construction....” (Epstein v. Abrams (1997) 57 Cal.App.4th 1159, 1168.)

III.

Analysis

1. Claim on Which Attachment Can Be Based

“[A]n attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars (\$500) exclusive of costs, interest, and attorney's fees.” (CCP § 483.010(a).) “An attachment may not be issued on a claim which is secured by any interest in real property arising from agreement” (CCP § 483.010(b).)

Here, Plaintiff's claims against

Defendants are premised on its cause of action for breach of contract. (Mem. at 3.) Defendants do not oppose on this ground. Plaintiff may seek attachment based on its breach claim.

2. Contract Based on a Commercial Claim

If the action is against a defendant who is a natural person, an attachment may be issued only on a commercial claim which arises out of the defendant's conduct of a trade, business, or profession. (CCP §483.010(c).) Consumer transactions cannot form a basis for attachment. (CCP §483.010(c); Kadison, Pfaelzer, Woodard, Quinn & Rossi v. Wilson ("Kadison") (1987) 197 Cal.App.3d 1, 4 [action involving trust property was a commercial, not a consumer, transaction].)

Hermosillo is the principal of Oro and Distillation. (Hermosillo Decl., ¶ 2.) The purpose of the Loan was "to fund [Oro and Distillation's] initial working capital needs". (Rahim Decl., ¶ 2, Ex. 1; Hermosillo Decl., Ex. 1.) Hermosillo does not oppose on this ground. Accordingly, the claim against Hermosillo for breach of contract is a commercial claim arising out of Hermosillo's business.

3. Fixed or Readily Ascertainable Amount

A claim is "readily ascertainable" where the damages may be readily ascertained by reference to the contract and the basis of the calculation appears to be reasonable and definite. (CIT Group/Equipment Financing, Inc. v. Super DVD, Inc. (2004) 115 Cal.App.4th 537, 540-41.) The fact that the damages are unliquidated is not determinative. (Ibid.) But the contract must furnish a standard by which the amount may be ascertained and there must be a basis by which the damages can be determined by proof. (Ibid.)

Here, Plaintiff and Defendants' evidence are in alignment. Plaintiff extended the \$500,000 Loan to Defendants. (Rahim Decl., ¶¶ 2-4, Exs. 1-2; Hermosillo Decl., ¶ 3, Ex. 1.) Plaintiff contends in its moving papers that Defendants made no payments. (Rahim Decl., ¶ 5.) In opposition, Defendants contend they made one \$2,500 payment toward the

Loan balance in October 2023. (Hermosillo Decl., ¶ 4, Ex. 2.) In reply, Plaintiff does not address this point beyond acknowledging Defendants claim to have made a \$2,500 payment. (Reply at 2.) However, Plaintiff's reply evidence appears to acknowledge that Defendants indeed made one \$2,500 payment in October 2023 as they claim. (Zain Decl., Ex. 1.)

Plaintiff's application seeks to attach only the \$500,000 principal amount for the Loan and \$50,000 for estimated fees. The estimated fees are supported by an attorney declaration and are reasonable. (Robinson Decl., ¶ 8.) Reducing that amount by \$2,500 [1] for the documented (Hermosillo Decl., Ex. 2.) and acknowledged (Zain Decl., Ex. 1) payment, the readily ascertainable amount is \$547,500.

Defendants do not oppose on this ground. The readily ascertainable amount is \$547,500.

4. Probable Validity of Plaintiff's Claims

"A claim has 'probable validity' where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim." (CCP § 481.190.) "If the defendant opposes the application, 'the court must then consider the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation.' [Citations.]" (Pech v. Morgan (2021) 61 Cal.App.5th 841, 855.)

In evaluating probable validity, the Court does not adjudicate the ultimate merits of the parties' legal theories. The Court instead weighs the parties' competing factual showings to determine, on balance, whether the applicant is more likely than not to obtain judgment. (See CCP §§ 481.190, 484.090.) The Court therefore assesses the credibility, internal consistency, and relative weight of the evidence, while avoiding any determination that would amount to a final merits ruling. The analysis below is made solely for the limited purpose of determining the "probable validity" of the applicant's claim at this preliminary stage.

Here, the application is based on claims for breach of contract. To establish a claim for breach of contract, a plaintiff must prove: (1) existence of a contract; (2) plaintiff's performance

or excuse for nonperformance; (3) defendant's breach of the contract; and (4) damages incurred by plaintiff as a result of the breach. (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1367.)

Plaintiff and Defendants'

evidence shows that Plaintiff extended Defendants the \$500,000 Loan as evidenced by the Note. (Rahim Decl., ¶¶ 2-4, Exs. 1-2; Hermosillo Decl., ¶ 3, Ex. 1.) Defendants indisputably did not make the required annual \$116,000 true-up payments. (Rahim Decl., ¶ 5; Hermosillo Decl., ¶ 5.)

In opposition, Defendant's raise a usury defense, claiming the annual true-up payments constitute interest, and, including these true-up payments, the total interest rate is approximately 29% annually. (Opp. at 7-9.) In support of this interpretation of the Note, Defendants supply Plaintiff's demand letter, which, inter alia, calculates that Defendants then owed Plaintiff \$1,182,600.

In reply, Plaintiff argues the true-up payments are installment payments on the principal and interest, not additional interest payments.

Plaintiff's arguments and

evidence are more persuasive. While Zain Rahim's AI-generated demand letter grossly miscalculated the amount due on the Loan (Zain Decl., ¶ 5, Ex. 1), the terms of the Note are unambiguous. Section 4 of the Note provides for Defendants' repayment obligations. (Rahim Decl., Ex. 1; Hermosillo Decl., Ex. 1.) Section 4.1 provides for monthly profit installments, whereby Defendants agreed to pay 20% of their Adjusted Net Profit, defined elsewhere in the Note, each month until the balance of the Loan was paid. (Rahim Decl., Ex. 1; Hermosillo Decl., Ex. 1.) Section 4.2 provided for a minimum annual obligation of \$116,000, and stated that Defendants must at the end of each year make a payment sufficient to make up the difference, if any between the minimum annual obligation and the actual amount paid in monthly profit installments. (Rahim Decl., Ex. 1; Hermosillo Decl., Ex. 1.) Section 4.3 provided that Defendants must pay the entire outstanding Loan balance, if any, on the Loan maturity date. (Rahim Decl., Ex. 1; Hermosillo Decl., Ex. 1.) Section 4.4 allowed that Defendants could prepay all or any portion of the Loan without penalty. (Rahim Decl., Ex. 1; Hermosillo Decl., Ex. 1.) Finally, Section 4.5 provided that payments would first apply to accrued unpaid late fees, second to accrued interest on the principal, and third to unpaid principal. (Rahim Decl., Ex. 1;

Hermosillo Decl., Ex. 1.)

These are all the provisions in Section 4 and all provisions defining Defendant's repayment obligations. Defendants' contention that the true-up payments are interest payments beyond other interest described in the Note is not founded in the terms of the Note. Consequently, Plaintiff's usury defense, at this stage and based on the evidence provided, fails. [2]

Accordingly, Plaintiff has shown the probable validity of breach of contract claim.

5. Purpose of Attachment

The other required finding under CCP section 484.090 is that the "attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based." (CCP § 484.090(a)(3).)

Plaintiff declares that "[a]ttachment is not sought for a purpose other than the recovery on a claim upon which the attachment is based." (App. ¶ 4.) Defendants do not oppose on this ground. Attachment is sought for proper purpose.

6. Bankruptcy

CCP section 484.020(d) requires a "statement that the applicant has no information or belief that the claim is discharged in a proceeding under Title 11 of the United States Code (Bankruptcy) or that the prosecution of the action is stayed in a proceeding under Title 11 of the United States Code (Bankruptcy)."

Plaintiff provides this statement. (App. ¶ 5.) Defendants do not oppose on this ground. This requirement has been satisfied.

7. Property Subject to Attachment

CCP section 487.010(a) states that, where the defendant is a corporation, all corporate property for which a

method of levy is provided in CCP section 488.300 et seq. is subject to attachment.

Where the defendant is a natural person, the property to which attachment can apply are limited per CCP section 487.010(c).

As to Hermosillo, Plaintiff seeks property described as follows:

“Real property interest (except leasehold interests with unexpired terms of less than one year); accounts receivable, chattel paper and general intangibles arising out of Defendant’s trade, business, or profession (provided any has a minimum \$150 principal balance); equipment and inventory; final money judgments arising out of Defendant’s conduct of a trade, business, or profession; cash on hand or in deposit accounts (but for \$1,000 in the aggregate); negotiable documents of title, instruments and securities held by Defendant” (Apps. ¶ 9.)

Hermosillo does not oppose on this ground. This description is sufficient.

8. Claims of Exemption

No claims of exemption are sought.

9. Undertaking

CCP section 489.210 requires the plaintiff to file an undertaking before issuance of a writ of attachment. CCP section 489.220 provides, with exceptions, for an undertaking in the amount of \$10,000. Defendants do not object to the amount of the undertaking. Accordingly, the Court will order an undertaking in the amount of \$10,000.

IV.

Conclusion

Plaintiff’s applications for attachment against Defendants are GRANTED. The undertaking will be \$10,000. See

CCP §489.220. No writ shall issue against any defendant until Plaintiff posts the \$10,000 undertaking for that defendant.

Within 3 court days of this order, Plaintiff is to file updated Right to Attach Orders reflecting the correct bench officer and amount of attachment, consistent with this ruling.

Date: July 9, 2026

HON. TIANA J. MURILLO

PLEASE TAKE NOTICE:

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Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

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If

a party intends to submit on this tentative ruling, the party may send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

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Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

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If

the parties neither submit nor appear at hearing, the court may take the matter off calendar or adopt the tentative ruling as the order of the court. After the court has issued a tentative ruling, the court may prohibit the withdrawal of the matter without leave.

Plaintiff has the burden to show the amount to be attached. While there is some suggestion in the evidence that Plaintiff considers this payment to be "absorbed by late charges" (Zain Decl., Ex. 1), Plaintiff does not raise this argument in its supporting or reply memoranda. Accordingly, the Court will reduce the readily ascertainable amount by the value of the payment made.

[2]

Defendants also make an offset claim which is contingent on their usury defense. Were the usury defense meritorious, the offset claim would be irrelevant as attachment would be denied. As the usury defense fails, so too does the offset claim.